

formula for coming up with a guaranteed successful mix. To get more details about the various investments out there, see Chapter 5.

Many employers offer advice, ranging from sample portfolios for people in a certain age group to face-to-face meetings with a financial advisor, but be careful—these advisors may have a vested interest in selling you an investment that pays them a higher commission. My favorite way for people to divvy up their 401(k) contributions is with the use of the portfolio management tools at Financial Engines (www.financialengines.com). This site helps you determine the best investment mix for your retirement money using a mathematical model developed by Nobel Prize-winning economist Bill Sharpe. (As my grandmother used to say, this man is clearly no dummy.) Financial Engines can help you decide how to allocate the money not only in your company 401(k) plan, but also in your IRA. Your company may provide you with access for free, so ask your employee benefits person. If not, you can get a one-year subscription for \$149.95 or a three-month trial for just \$39.95. To minimize your costs, consider using the service for just one three-month period every few years.

- educational expenses for yourself, your spouse, or your children (including tuition, fees, books, and possibly room and board)
- unreimbursed medical expenses if they exceed 7.5% of your adjusted gross income (see Chapter 9 to figure out what that means)
- up to \$10,000 in home buying costs such as a down payment or closing fees. (This is a *lifetime* cap per person, and the exemption is reserved for people who have not owned a house in at least two years.)

One last tip: If you need your IRA money for a short period of time, you can *borrow* it once a year, without tax or penalty, as long as you pay it all back within 60 days. Of course, this is easier said than done, and should be reserved for a true emergency only.